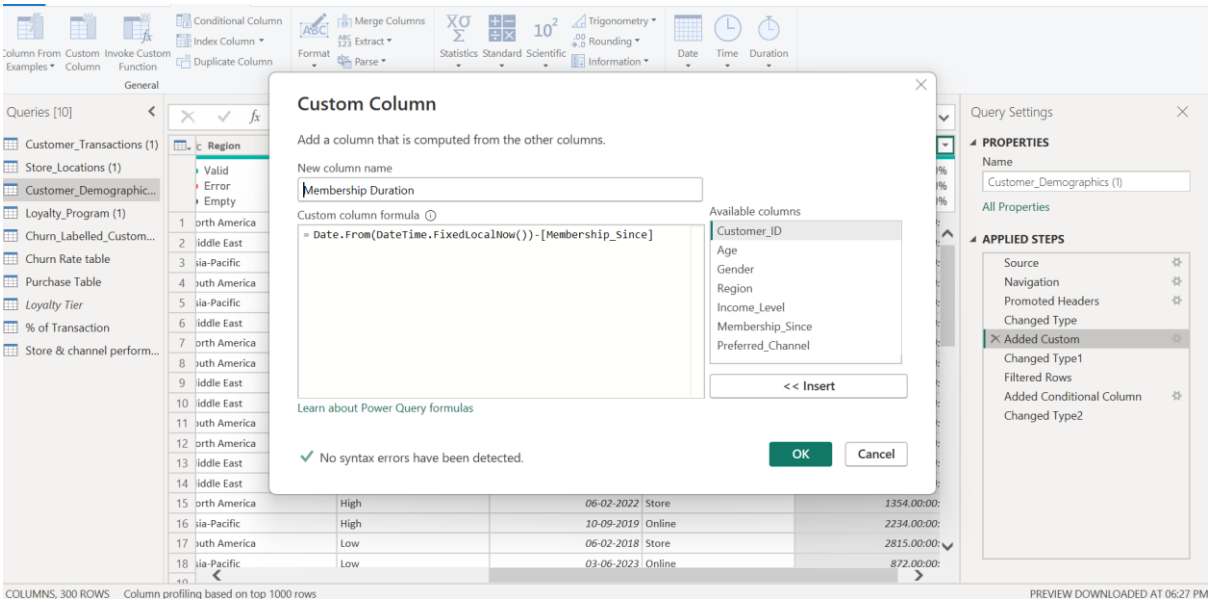
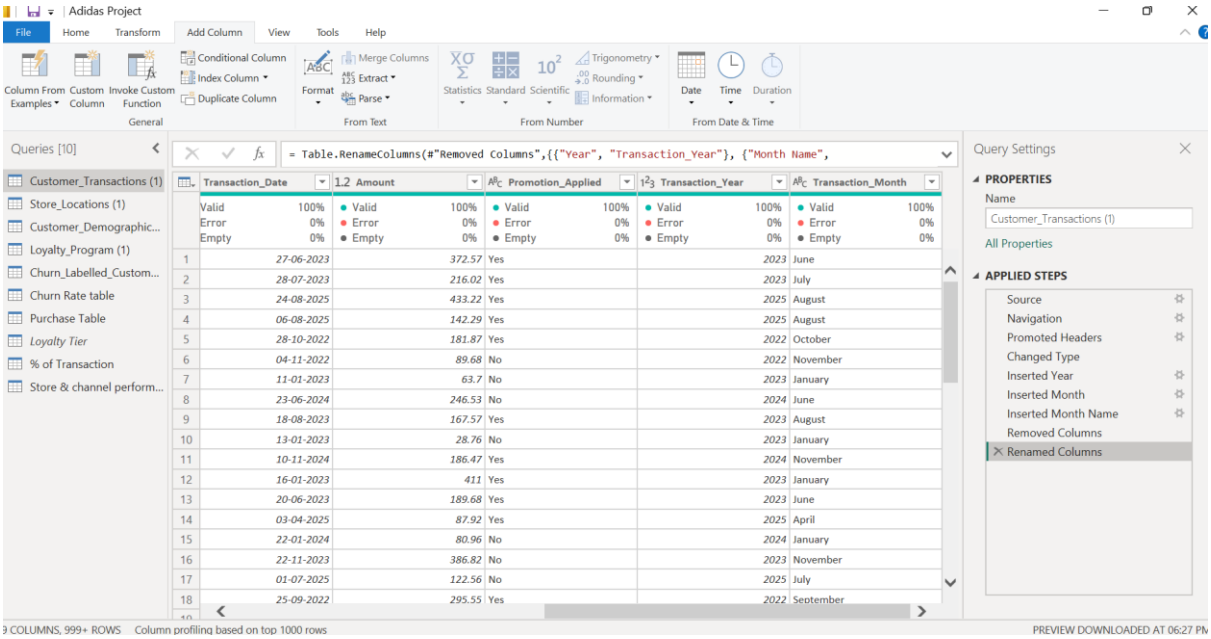
POWER BI: ADIDAS PROJECT

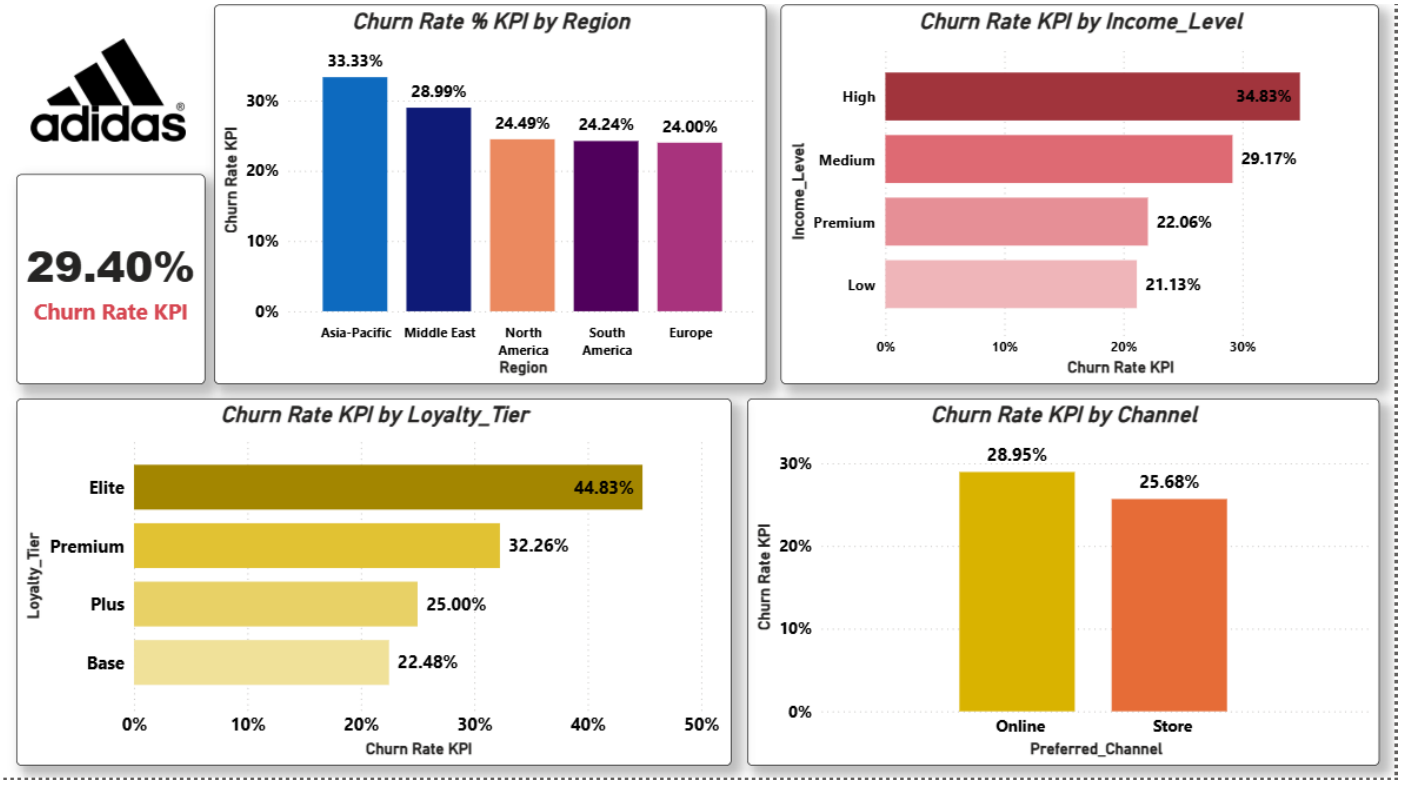
Task 1: Data Modeling & Cleaning

Task 1.3: Membership Duration- Calculated Column





Task 2: Churn & Retention Metrics

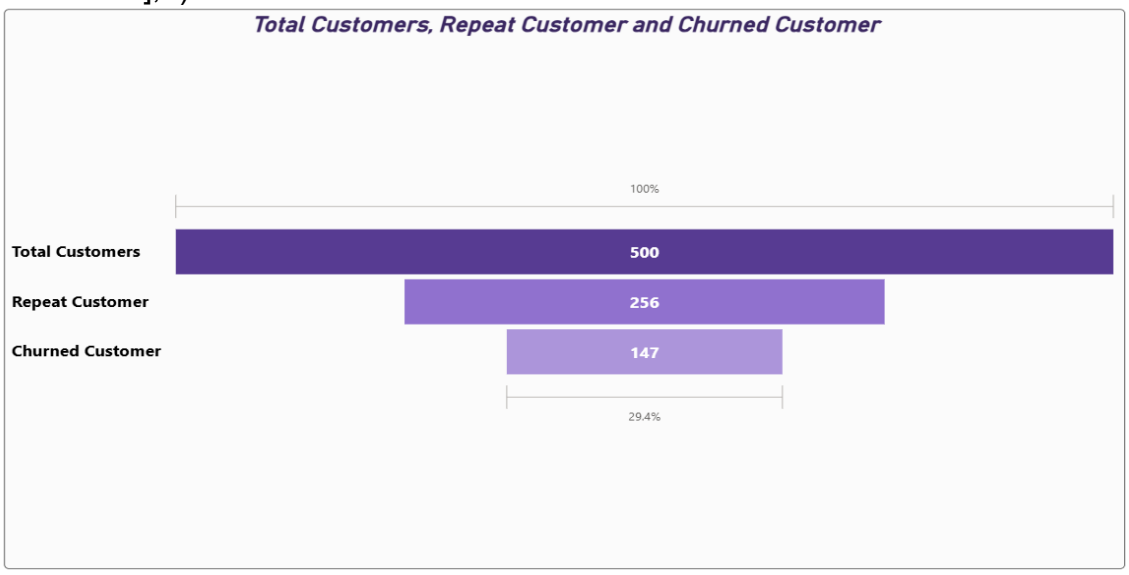


- ***Churned Customer*** = calculate(COUNTROWS('Churn_Labelled_Customers (1)'),'Churn_Labelled_Customers (1)'[Churn_Flag]=1)

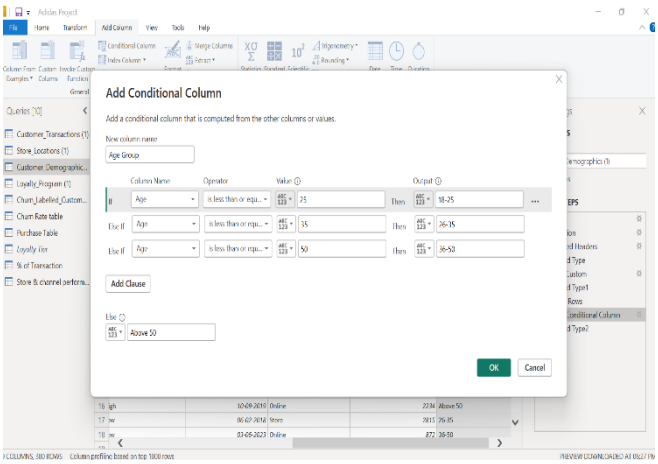
- ***Repeat Customer*** = CALCULATE(DISTINCTCOUNT('Customer_Transactions (1)'[Customer_ID]),filter('Customer_Transactions (1)',calculate(countrows('Customer_Transactions (1)'),ALLEXCEPT('Customer_Transactions (1)','Customer_Transactions (1)'[Customer_ID]))>1))

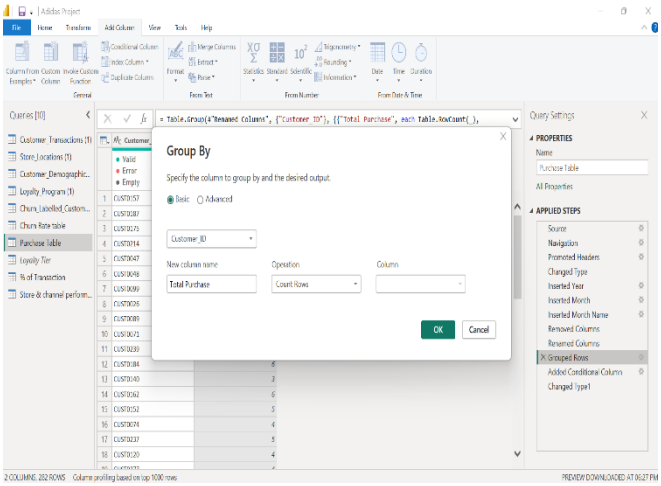
- ***Total Customers*** = countrows('Churn_Labelled_Customers (1)')

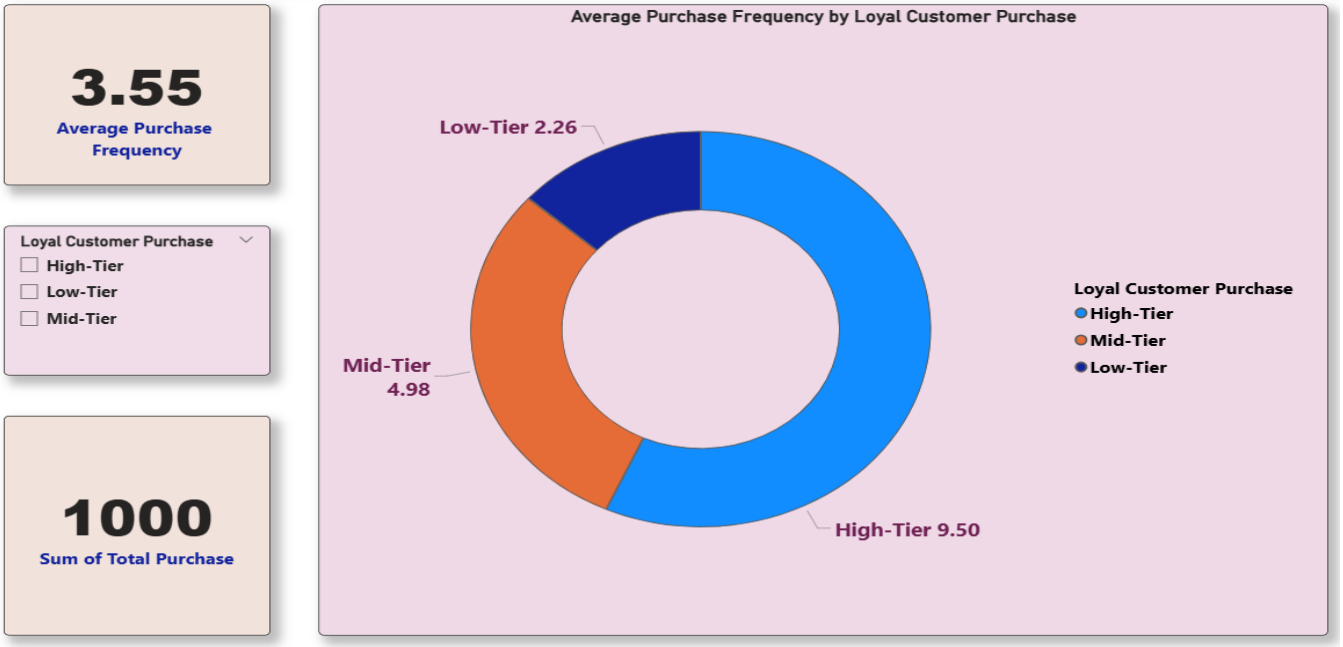
- ***Churn Rate KPI*** = DIVIDE('Churn Rate table'[Churned Customer],'Churn Rate table'[Total Customers],0)



Task 3: Repeat Purchase Analysis

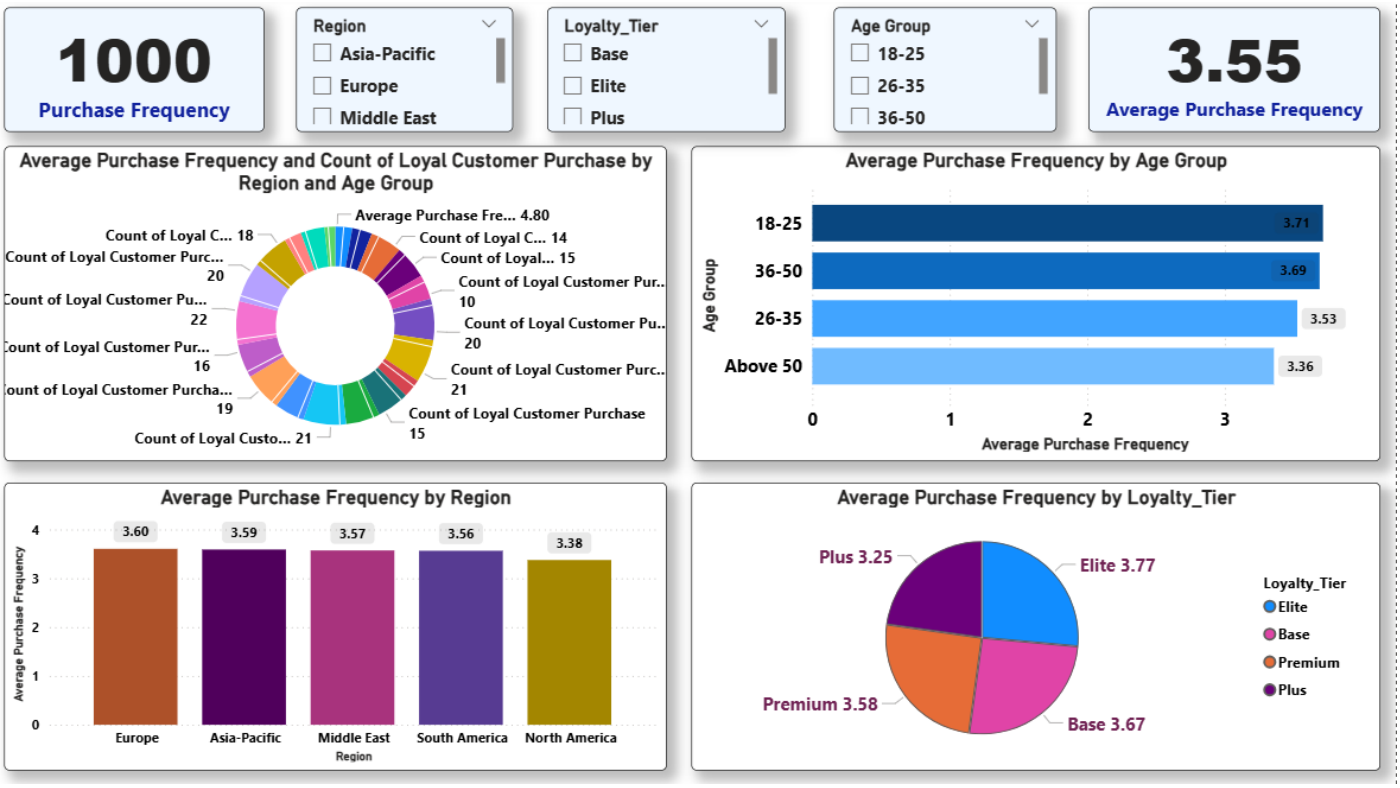


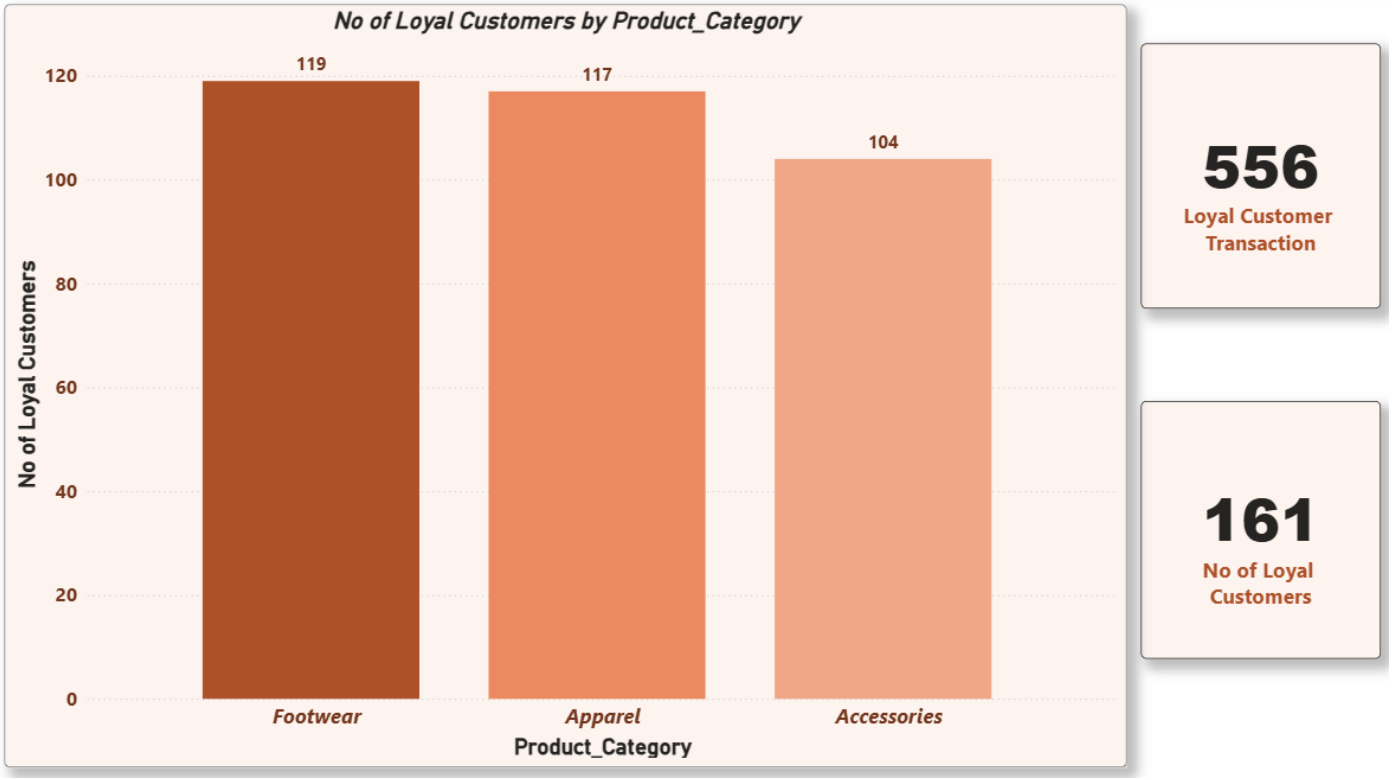




DAX FORMULA:

- ***Purchase Frequency*** = CALCULATE(countrows('Customer_Transactions (1)'),ALLEXCEPT('Customer_Transactions (1)','Customer_Transactions (1)'[Customer_ID]))
- ***Average Purchase Frequency*** = AVERAGEX(VALUES('Customer_Transactions (1)'[Customer_ID]),[Purchase Frequency])
- ***Loyal Customer Purchase*** = if('Purchase Table'[Total Purchase]<4,"Low-Tier",if('Purchase Table'[Total Purchase]<=8,"Mid-Tier","High-Tier"))

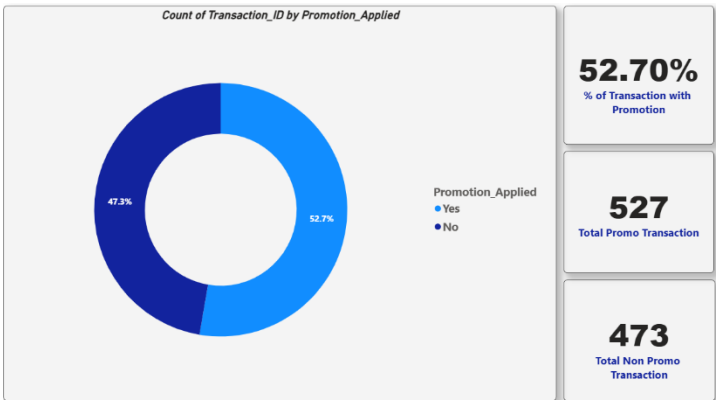




- ***Loyal Customer Transaction*** = CALCULATE(COUNT('Customer_Transactions (1)'[Transaction_ID]),FILTER('Loyalty_Program (1)','Loyalty_Program (1)'[Loyalty_Tier]IN{"Premium","Elite","Plus"}))

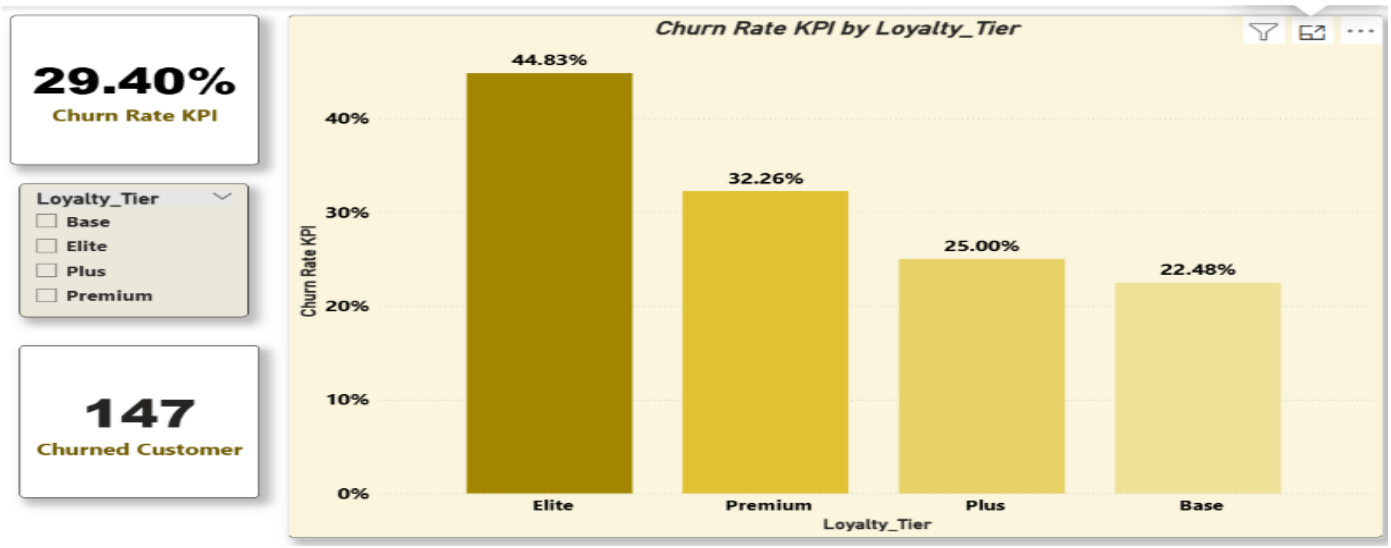
- ***No of Loyal Customers*** = CALCULATE(DISTINCTCOUNT('Customer_Transactions (1)'[Customer_ID]),FILTER('Loyalty_Program (1)','Loyalty_Program (1)'[Loyalty_Tier]IN{"Premium","Elite","Plus"}))

Task 4: Promotion & Loyalty Impact



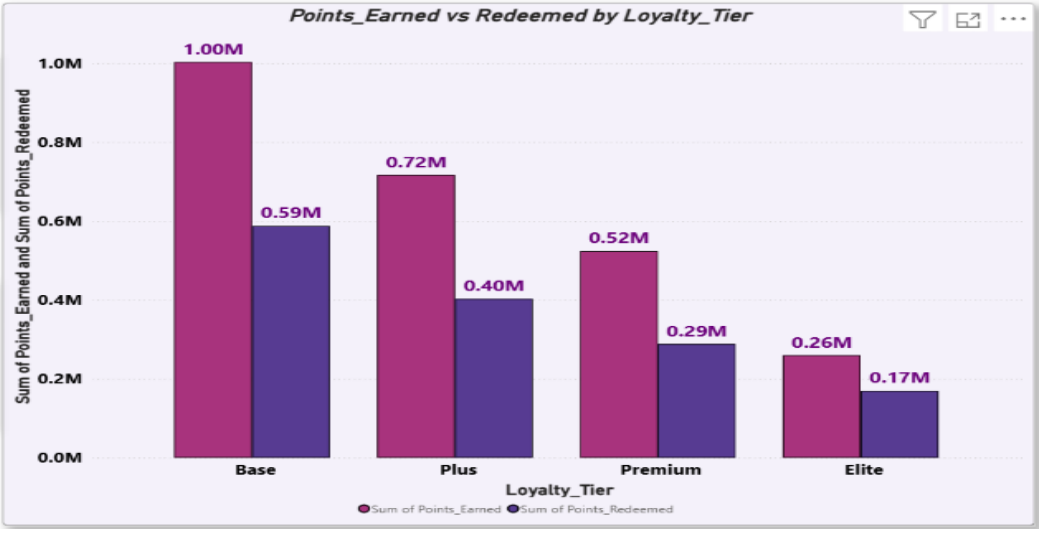
DAX FORMULA:

- ***Total Promo Transaction*** = countrows(FILTER('Customer_Transactions (1)','Customer_Transactions (1)'[Promotion_Applied]="Yes"))
- ***% of Transaction with Promotion*** = divide(countrows(FILTER('Customer_Transactions (1)','Customer_Transactions (1)'[Promotion_Applied]="Yes")),COUNTROWS('Customer_Transactions (1)'))
- ***Total Non Promo Transaction*** = countrows(FILTER('Customer_Transactions (1)','Customer_Transactions (1)'[Promotion_Applied]="No"))
- ***Average Purchase Amount*** = AVERAGE('Customer_Transactions (1)'[Amount])
- ***Average Purchase with Promotion*** = CALCULATE([Average Purchase Amount],'Customer_Transactions (1)'[Promotion_Applied]="Yes")
- ***Average Purchase Without Promotion*** = CALCULATE([Average Purchase Amount],'Customer_Transactions (1)'[Promotion_Applied]="No")



3M
Sum of Points_Earned

1M
Sum of Points_Rede...



RECOMMENDATIONS:

1. Improve Redemption Rates
- Focus on **Plus and Premium tiers** to improve redemption..

Action Steps:
- Launch **tier-based redemption bonuses.**
- Send **personalized reminders** for unused points and expiry dates.
- **Simplify & personalize rewards:** Make redemption easy and tailor offers based on purchase behavior.

2. Strengthen Retention Across High-Value Segments
- **Focus on High CLV Customers**: Especially Elite and Premium tiers in Asia-Pacific and Europe.

Action Steps:
- Deploy **predictive churn models** to identify at-risk high-value customers.
- Offer **VIP experiences**, early access to products, and personalized offers.

3. Align Promotions with Loyalty Incentives
- **Insight**: Promo transactions drive higher spend (₹272.43 vs ₹258.79).

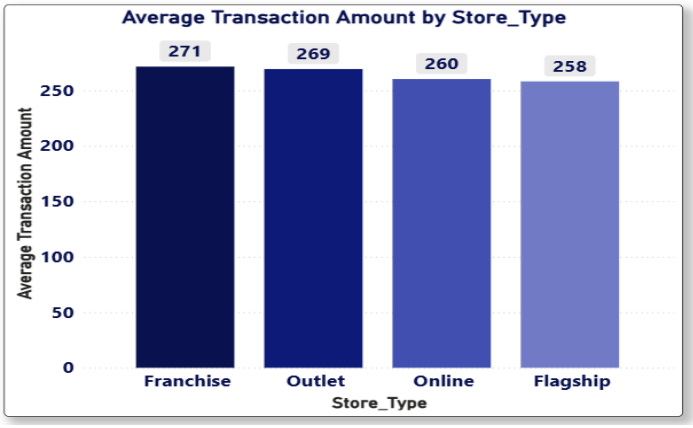
Action Steps:
- Launch **loyalty-only promotions** to increase both redemption and retention.
- Promote customer participation and reward opportunities across all channels including flagship, franchise, outlet and online platforms

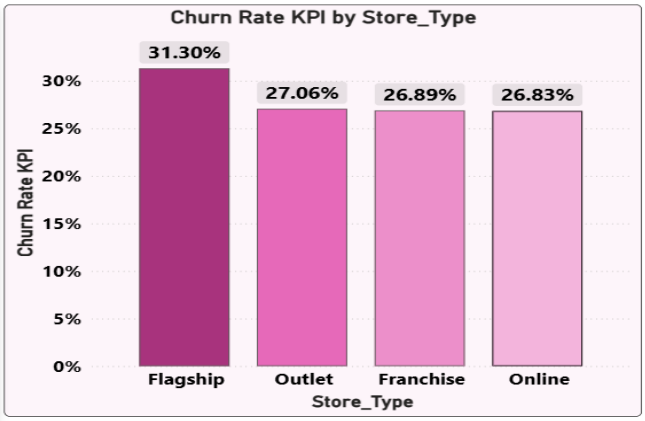
Task 5: Store & Channel Performance vs Retention

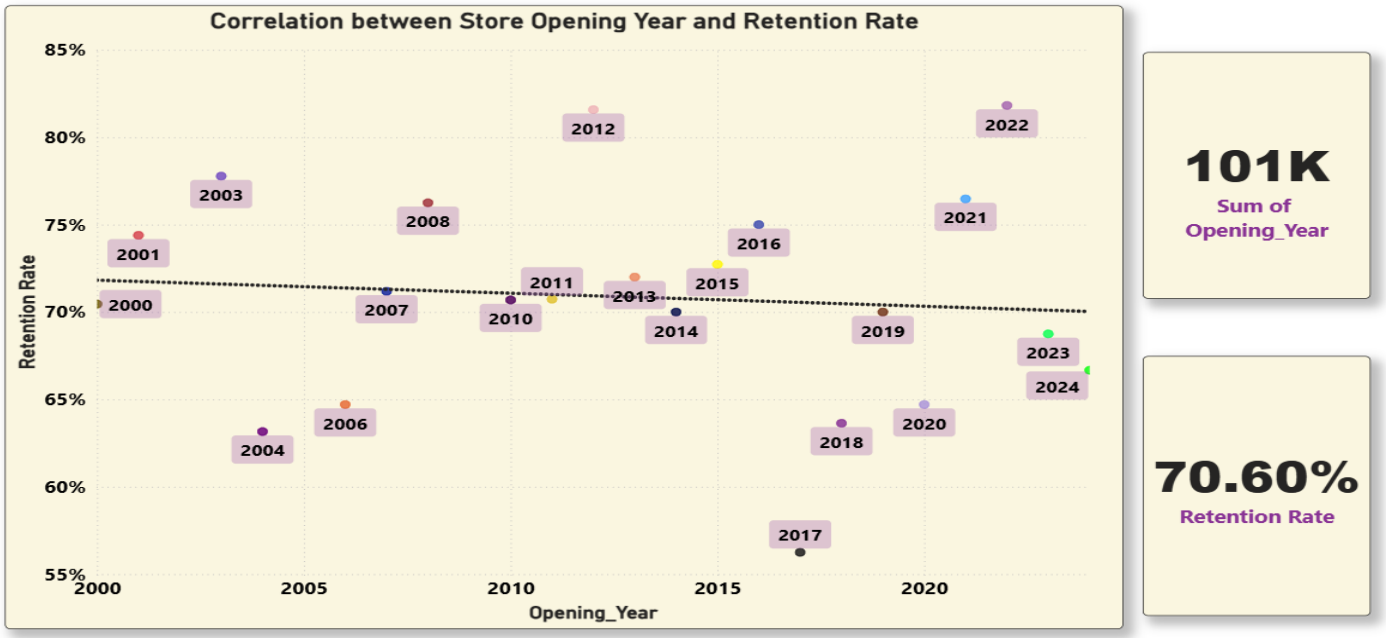
265.98
Average Transaction Amount

147 Churned Customer
500 Total Customers

29.40%
Churn Rate KPI





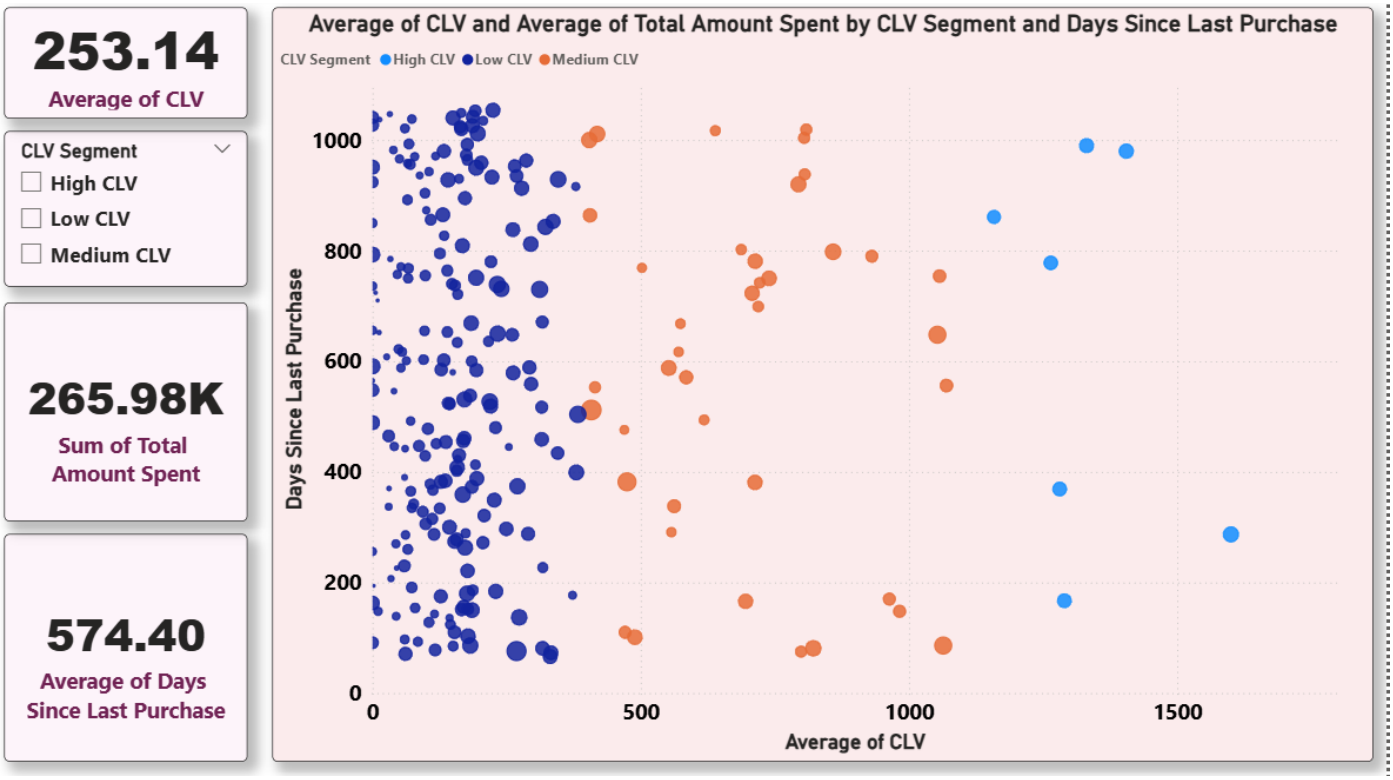


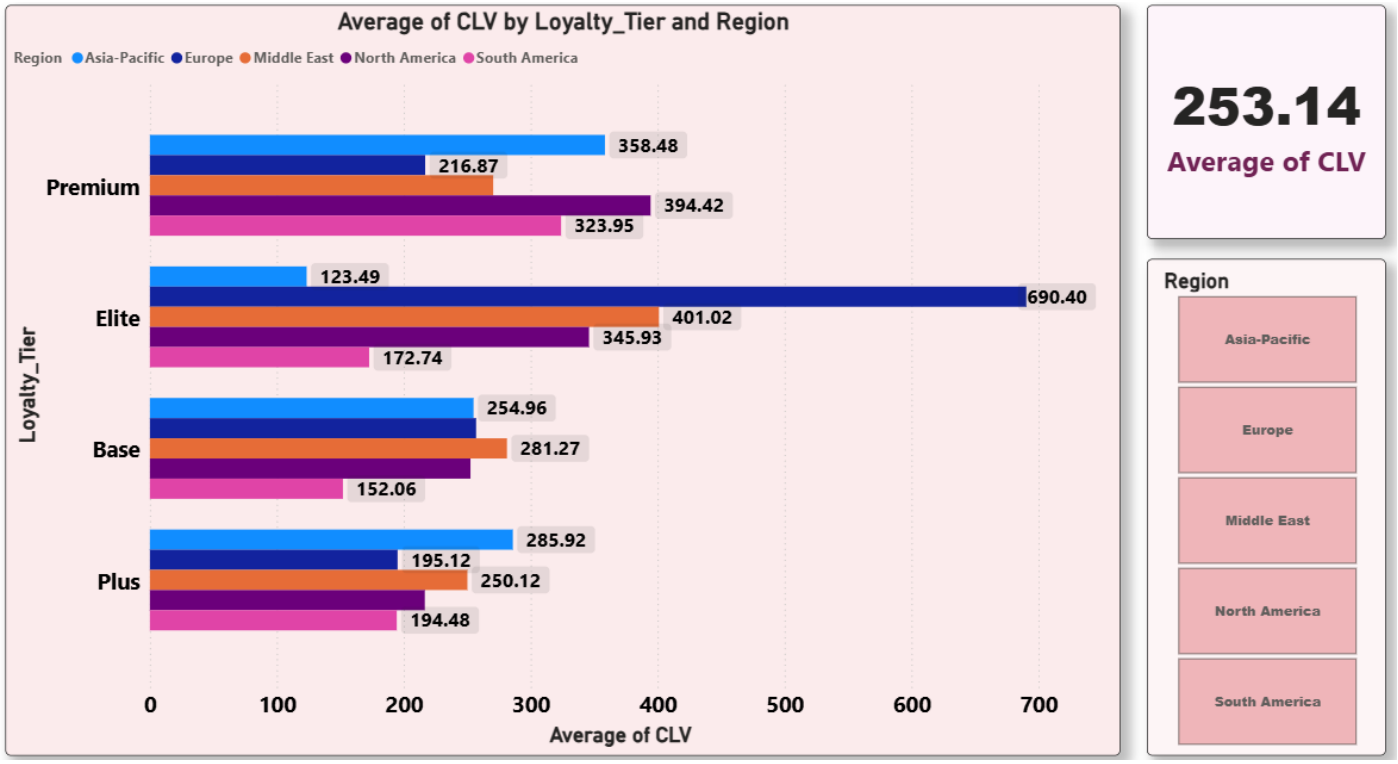
DAX FORMULA:

- ***Retention Rate*** = DIVIDE(COUNTROWS(FILTER('Churn_Labelled_Customers (1)','Churn_Labelled_Customers (1)'[Churn_Flag]=0)),COUNTROWS('Churn_Labelled_Customers (1)'))

- ***Average Transaction Amount*** = AVERAGE('Store Data with Transactions'[Amount])

Task 6: Customer Lifetime Value (CLV) Analysis





DAX FORMULA:

- ***Total Amount Spent*** = CALCULATE(sum('Customer_Transactions (1)'[Amount]),FILTER('Customer_Transactions (1)','Customer_Transactions (1)'[Customer_ID]=EARLIER('Customer_Demographics (1)'[Customer_ID])))

- ***Membership Duration Year*** = DATEDIFF('Customer_Demographics (1)'[Membership_Since],today(),YEAR)

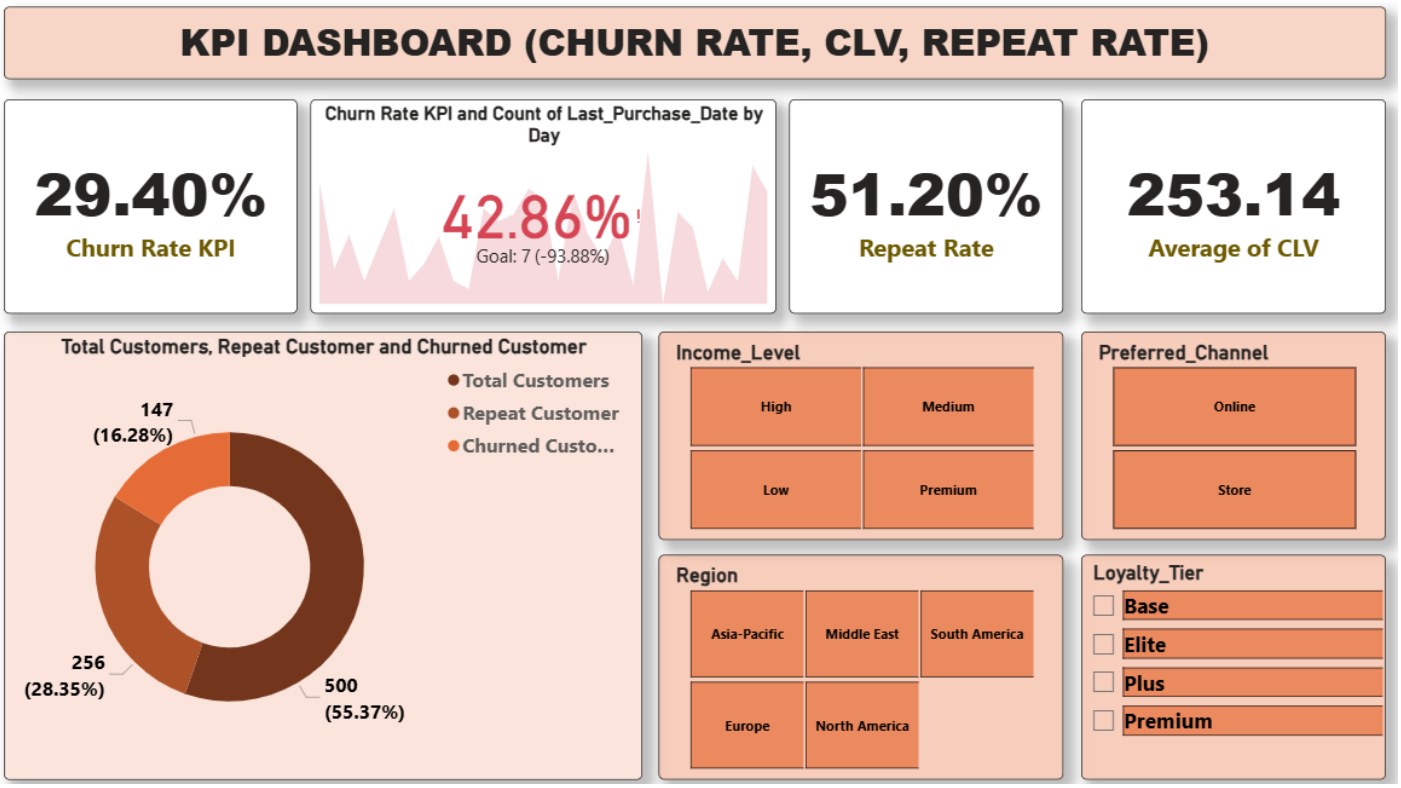
- ***CLV*** = DIVIDE('Customer_Demographics (1)'[Total Amount Spent],'Customer_Demographics (1)'[Membership Duration Year],0)

- ***CLV Segment*** = SWITCH(True(),'Customer_Demographics (1)'[CLV]<400,"Low CLV","Customer_Demographics (1)'[CLV]<1100,"Medium CLV","High CLV")

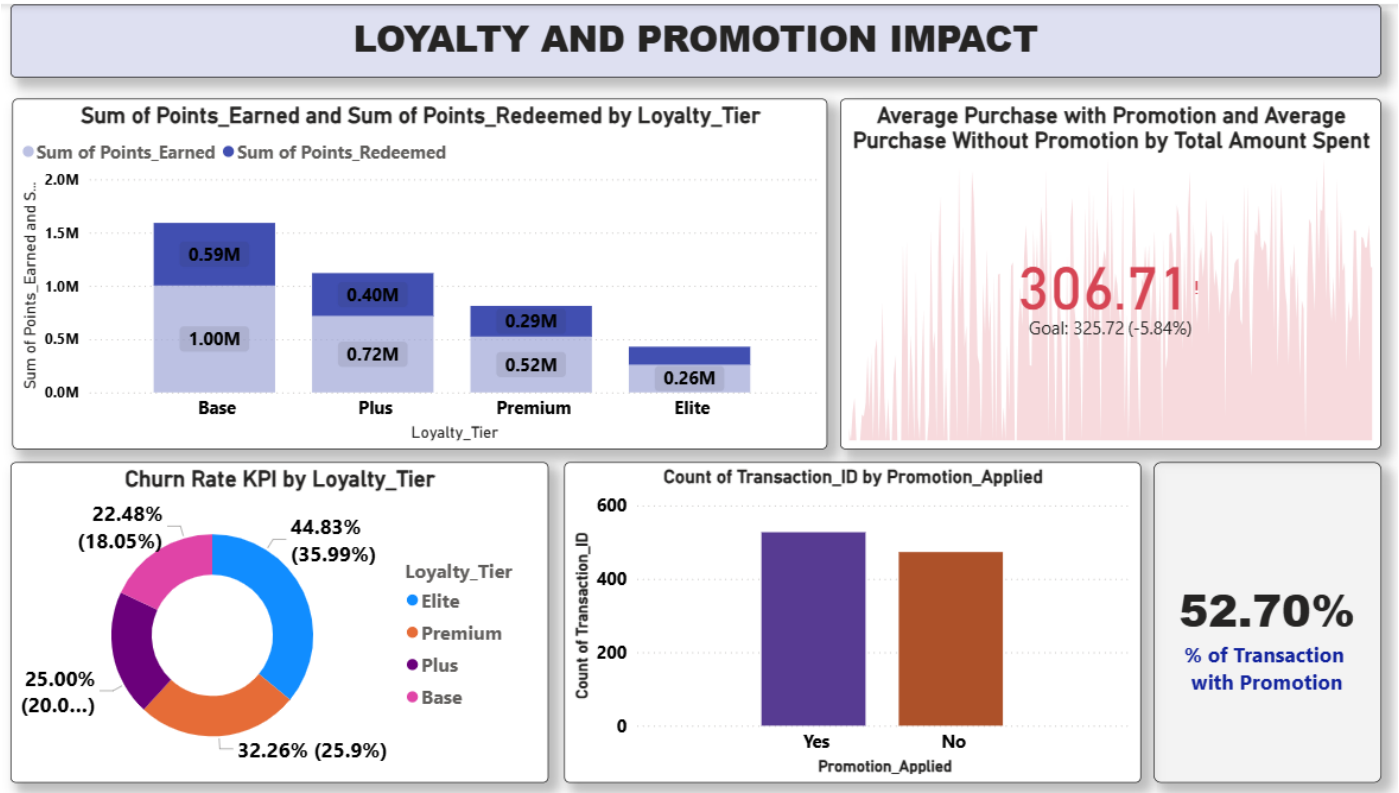
- ***Days Since Last Purchase*** = datediff('Churn_Labelled_Customers (1)'[Last_Purchase_Date],today(),day)

Task 7: Final Dashboard & Executive Summary

TASK 7.1

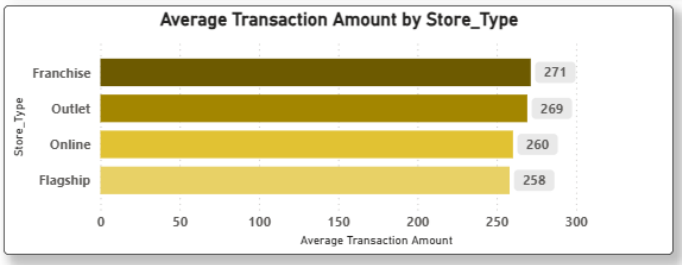


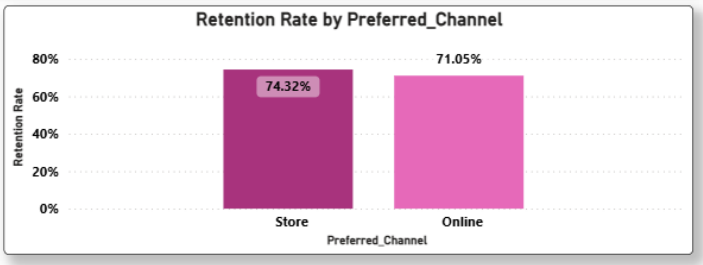
TASK 7.2

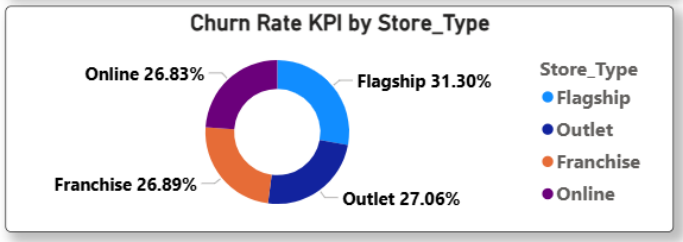


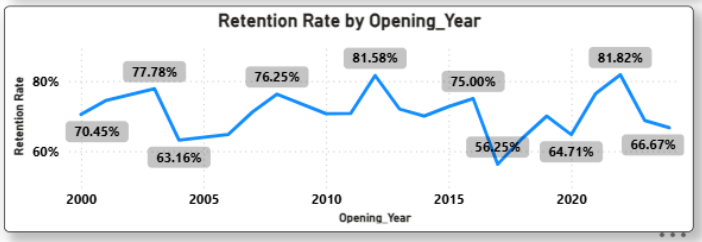
TASK 7.3

STORE AND CHANNEL INSIGHTS







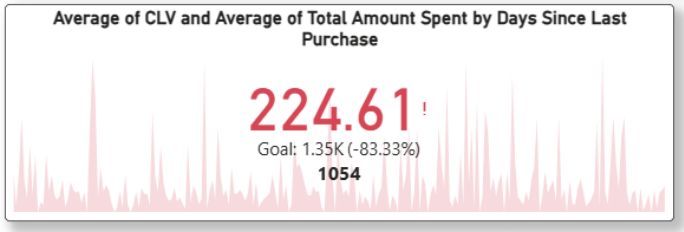


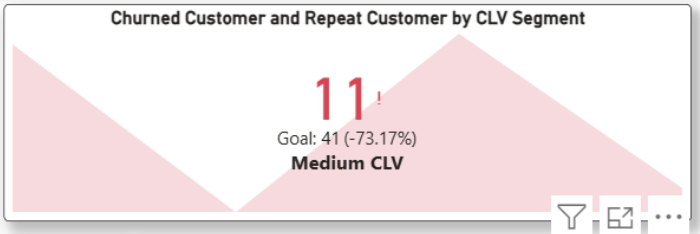
INSIGHTS: 💡

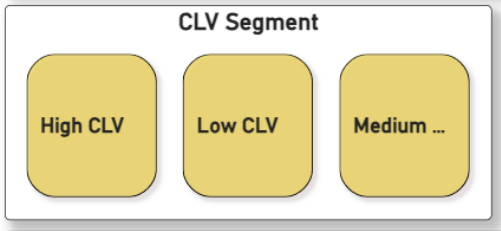
- Franchise stores are the **most profitable and stable** — customers spend more and churn less.
- Flagship stores underperform in retention — likely due to irregular local customers or one-time buyers.
- New stores opened in **2024 show 66.7% retention**, suggesting **modern formats and improved experience** work well.

TASK 7.4

CUSTOMER SEGMENTATION







Store_Type	Churned Customer	Repeat Customer	Average of CLV
Franchise	57	204	276.19
Outlet	46	164	271.79
Online	44	155	286.17

INSIGHTS:

- The majority of customers are low-value; growth relies on moving Repeat customers to Medium/High CLV.
- **Retention Priority:** Medium CLV customers are underperforming vs. goals; they are a prime target for retention campaigns.
- **High-Value Focus:** High CLV customers are few but critical; ensure they receive loyalty perks and exclusive offers.
- Only **11 medium-CLV customers** are currently active (repeat) vs. a goal of 41.This is **–73% below target**, showing a challenge in retaining medium-value customers.
- **Actionable:** Implement targeted retention campaigns for medium CLV segment; loyalty programs or personalized offers.

TOP 3 RECOMMENDATIONS:

RECOMMENDATIONS FOR ADIDAS:

- ***Which customers to prioritize for retention?***
  - Prioritize Retention for High CLV Segment. Many are approaching 200–400 days since last purchase, indicating potential churn.
  - **Opportunity**: Re-engaging even a small portion of this group could yield outsized returns.

📌 **Action Plan**:
- Launch **personalized reactivation campaigns** targeting High Tier CLV customers.
- Offer **exclusive loyalty perks** or early access to new collections.
- Use **predictive churn modeling** to identify High Tier customers at risk based on inactivity.

- ***Which channels are underperforming?***
  - Flagship and Outlet Store underperform as they have high churn rate and Low CLV
  - Online channel lags behind in customer retention, transaction value, and churn control. This suggests issues with engagement, experience, or loyalty integration.

📌 **Action Plan**:
- Enhance personalization and loyalty features online.
- Introduce hybrid models like "Buy Online, Pick Up In Store.
- Build post purchase connection and better product variety to encourage repeat visits.

- ***How to strengthen loyalty program engagement?***
  - Introduce tier-based redemption bonuses and personalized reminders. Encourage movement to Plus/Premium tiers through milestone rewards and tier progression incentives.
  - High churn in mid-tier members (Base, Plus) who stop after one or two purchases. Offer **bonus for first redemption like** ("Redeem now and get 100 bonus points").
  - **Retention Maintenance**: Maintain low churn with consistent communication and small loyalty perks.

KEY FINDINGS AND INSIGHTS:

- **Churn Trends**
  - Overall churn rate 29.4% indicates a **significant portion of customers becoming inactive** after their initial purchase.
  - High-income customers churn the most (34.83%), suggesting premium pricing or unmet expectations.
  - Income and region are strong churn predictors—premium customers need tailored experiences.
  - Nearly 20% of customers are inactive or undefined—segment and engage them to prevent silent churn.

- **Loyalty Tier & Repeat Purchase Behavior**
  - **Elite and Premium tiers** earn and redeem the most points, but also show high churn — indicating a need to enhance perceived value.
  - ***Product Preference***: Loyal customers are most concentrated in Footwear (119), followed by Apparel (117) and Accessories (104).
  - Over half of customers (51.2%) made repeat purchases, with an average purchase frequency of **3.55**, indicating a solid base of returning customers but room for deeper loyalty.

- **Customer Lifetime Value (CLV) Insights**
  - High CLV customers are mainly from the **Premium and Elite tiers**, showing strong multi-channel engagement.
  - Growth depends on converting repeat customers into higher CLV segments—use loyalty tier upgrades and personalized offers.

VIDEO LINK:

Part1: https://www.loom.com/share/07809f1c810340c5b21bef59c22a57ef?sid=508e16cf-8f9d-48d8-b637-4e334c5b729a

Part 2: https://www.loom.com/share/cdf0ee06062848db90fad97ce9348bcf?sid=34d8d767-65ac-4722-bc20-97e1dde34fa2